NexusIQ Corporation — Seasonal Demand Incident Report

Q4 2024 Electronics Demand Surge | Incident Reference: OPS-2024-Q4-001 | Date: December 15, 2024

Prepared by: Supply Chain Operations | Reviewed by: VP Operations | Classification: Internal — Operations

1. Incident Summary

Beginning in the week of November 18, 2024, Electronics demand at NexusIQ stores across all five regions exceeded the Q4 demand forecast by a widening margin. By Week 48 (Black Friday week), Electronics daily transaction rates were 14% above the Q4 plan prepared in September 2024. The excess demand exhausted available safety stock in Electronics across 26 high-priority stores and triggered 23 emergency replenishment orders between November 22 and December 5, 2024.

This incident is classified as an Unforecasted Demand Surge — Category 2 (Supply Constrained). Category 2 means demand exceeded supply for a meaningful duration but did not result in a total stockout across the network. Estimated lost sales due to stockout conditions in Laptop and Tablet SKUs are approximately $2.1M, based on the demand signal observed at stores that did maintain sufficient stock. No customer data breaches, safety issues, or regulatory matters were involved.

2. Timeline of Events

Date	Event	Scope	Action Taken
Sep 20, 2024	Q4 demand forecast finalized at $48.2M	Planning	Inventory positions set per forecast
Nov 1, 2024	October actuals: $15.82M — 1.2% above Q4 monthly target	Monitoring	No action — within normal variance
Nov 15, 2024	Week 46 Electronics sales 8% above weekly plan	Early signal	Watch status set; no order change
Nov 18, 2024	Electronics velocity now 11% above plan — trending to exceed forecast	Alert Level 1	Category buyer alerted; backup vendor contacted
Nov 22, 2024	First 4 emergency replenishment orders placed	Alert Level 2	Emergency orders: W014, W007, C003, C011
Nov 25–29, 2024	Black Friday week: Electronics revenue 38% above sub-plan for the week	Incident Active	19 additional emergency orders placed
Dec 1, 2024	31 SKUs below reorder point; 4 stores at critical stock	Incident Active	Daily ops review initiated per Inventory Reorder SOP Sec
Dec 5, 2024	Emergency replenishments begin arriving at high-priority stores	Recovering	Stock positions improving at W014, W007
Dec 15, 2024	Incident report filed; 72 SKUs remain below reorder point network-wide	Monitoring	Restock expected Dec 18-28 for all affected stores

3. Root Cause Analysis

Three contributing causes were identified through this investigation. The primary cause was forecast methodology: the Q4 demand forecast used a two-year historical average that did not fully weight the accelerating growth trajectory NexusIQ experienced in H2 2024. A forecast based purely on linear extrapolation of the Q1-Q3 2024 trend would have produced a Q4 forecast of $52.8M — $4.6M higher than the actual $48.2M plan — and would have prompted larger inventory positions. The forecasting model is being revised for FY 2025 planning.

The secondary cause was the Black Friday promotional design. The Laptop+Headphones bundle offered at $349 in the Black Friday catalog generated substantially higher attach rates than modeled. The bundle was designed by the category team without a formal demand elasticity analysis; the 34% Headphones attach rate observed during the week was approximately twice the planning assumption of 17%. This incremental bundle demand consumed Laptop and Headphones inventory faster than the base replenishment cycle supported.

The tertiary cause was vendor lead time. The primary Electronics vendor, TechSource Global, had an on-time delivery rate of 94.2% in FY 2024 per the Inventory Reorder SOP vendor scorecard — below the 95% target. When emergency orders were placed in late November, TechSource's production queue was already at capacity servicing other retail customers' holiday orders, resulting in longer-than-standard lead times for the emergency replenishments.

4. Impact Assessment

Impact Category	Magnitude	Affected Scope	Financial Estimate
Lost Laptop sales (stockout)	~1,400 units unavailable	W014, W007, C003, C011 + 4 others	~$1,480,000
Lost Tablet sales (stockout)	~840 units unavailable	8 stores across West and Central	~$620,000
Emergency freight premium	23 emergency orders	Network-wide	~$87,400
Customer satisfaction impact	184 complaint tickets filed	Primarily West and Central	Qualitative — churn risk
Support cost (extra staffing)	Est. 420 additional labor-hours	Customer Operations	~$14,700
Total estimated incident cost			~$2,202,100

Financial estimates based on average transaction values and standard labor rates.

5. Corrective Actions

Four corrective actions are in progress following this incident. First, the FY 2025 Q4 demand forecast will use a weighted model that gives 60% weight to the most recent four quarters and 40% to the two-year average, rather than an equal weighting. This change is expected to produce forecasts that better track current demand trajectory. Second, all major promotional bundles must pass a demand elasticity review before catalog publication; the category team will maintain a promotional demand model updated with post-event actuals.

Third, the Inventory Reorder SOP has been updated (Version 2.1, effective March 1, 2024) to apply a 1.3x seasonal multiplier to Electronics and Home category reorder quantities for the October-December period. This creates a larger pre-season safety buffer. Fourth, a secondary Electronics vendor qualification process is underway to reduce dependency on TechSource Global for emergency replenishment capacity. Vendor qualification is expected to complete by March 2025 per the Supply Chain Risk Assessment timeline.